

IQE plc

IQE.L | London AIM | Compound Semiconductors

Comprehensive Equity Research Report

Epiwafer foundry | Strategic review | AI/CPO optionality

52.1p

Share price

~£508M

Market cap

~£97M

FY25 rev

£2.0M

FY25 adj EBITDA

Investment thesis: IQE plc is a 38-year-old UK compound semiconductor epiwafer foundry — the scaled global leader supplying GaAs, InP, GaN, and silicon-germanium wafers for photonics (VCSELs, DFB lasers, PIN photodetectors), wireless (5G RF, satellite), and emerging CMOS++ markets. The company sits at the intersection of three structural trends: (1) AI data center optical interconnects (silicon photonics, CPO); (2) 3D sensing VCSELs in smartphones; (3) US defence / CHIPS-era GaN RF programs. FY2025 revenue ~£97M (upper end of guidance), with H2 momentum driven by photonics/AI and US defence. However, IQE is deeply loss-making, carries significant debt, has initiated a formal strategic review including potential sale of the company, and is negotiating to sell its Taiwan operations. A sharp post-update rally has driven the stock from a 52-week low of 4.68p to 52.1p (+1,013%). **Rating: SPECULATIVE with binary outcome — takeover premium vs. dilution/distress risk.**

Metric	Value	Metric	Value
Ticker	IQE.L (AIM, London)	Founded	1988 (38 years)
Sector	Compound semiconductors	Employees	~500 (group)
Segments	Wireless / Photonics / CMOS++	HQ	Cardiff, UK
FY25 revenue	~£97M (upper end guidance)	FY24 revenue	£118M
FY25 adj EBITDA	At least £2.0M	FY24 adj EBITDA	£8.1M
H1 2025 revenue	£45.3M (-31% YoY)	H2 2025 momentum	Strong — AI/defence/handsets
Share price	52.1p (Apr 19, 2026)	52-wk range	4.68p - 72.00p
Analyst consensus	1 analyst Buy; avg target 40.5p	Strategic review	Active; Taiwan sale in progress
Board advisers	Lazard (strategic); Peel Hunt (Nomad)	Dividend	None

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1. Executive summary

IQE plc (IQE.L) is the world's scaled leader in compound semiconductor epitaxy — the process of growing ultra-thin crystalline layers on wafers to create high-performance chips for RF, photonics, and advanced computing [1][2]. Founded in 1988 and headquartered in Cardiff, IQE operates manufacturing sites in the UK (Cardiff, Newport), US, and Taiwan, supplying GaAs, InP, GaN, SiGe and other compound wafers to device makers serving smartphones, satellite comms, defence, and AI data centers [3]. The company employs ~500 people and trades on London's AIM market [4].

FY2025 was a recovery year after a cyclical trough. H1 2025 revenue fell to £45.3M (-31% YoY) as wireless markets weakened on soft mobile handset demand and US defence funding delays [5]. H2 rebounded sharply on faster-than-expected US military programme releases, stronger AI/data centre photonics demand, and new handset launches benefiting Taiwan operations. Full-year revenue came in at the upper end of guidance (~£97M) with adjusted EBITDA of at least £2M [6][7]. Management is now guiding FY2026 expectations around a strong Q1 order book [7].

In September 2025, IQE expanded its previously-announced Strategic Review to include a potential sale of the entire company, with Lazard advising. Multiple parties are negotiating to buy the Taiwan operations, with proceeds earmarked to repay the HSBC revolving credit facility and the March 2025 Convertible Loan Notes [8][9]. The share price has surged from a 52-week low of 4.68p to 52.1p — a 1,013% rally reflecting takeover speculation. Analyst consensus target of 40.5p sits below market, suggesting the price now embeds significant M&A; premium [4][10].

Rating: SPECULATIVE with binary outcome. The thesis is no longer primarily about fundamental AI/CPO exposure — it's about whether a strategic buyer emerges at an attractive premium, how proceeds from the Taiwan sale are deployed, and whether the core UK+US business reaches sustainable profitability absent Taiwan revenue. A take-private at £0.60-0.80 is plausible; a failed process or dilution event could return the stock to 20-30p.

2. Company overview & history

IQE was founded in 1988 as International Quantum Epitaxy in Cardiff, Wales — a spin-out focused on MOCVD (metal-organic chemical vapour deposition) epitaxy for III-V compound semiconductors. The company listed on London's AIM market in 2000 and built scale through acquisitions including MBE Technologies (Singapore, 2002), Kopin Wireless (US, 2006), NewWay Semiconductor (Taiwan, 2009), and the Galaxy Compound Semiconductor wafer foundry (US, 2010) [1][2][11].

The 2017 launch of the Apple iPhone X — with its Face ID 3D sensing camera powered by VCSEL (vertical cavity surface-emitting laser) arrays — transformed IQE's photonics segment. Photonics revenue doubled year-on-year as IQE became the scaled external supplier of VCSEL epi wafers to Apple's semiconductor partners. IQE opened its 'Mega Foundry' in Newport to meet demand [12][13]. This period peaked in 2019-2021 before smartphone volumes plateaued.

IQE operates three primary manufacturing sites: (1) **Cardiff (HQ + MBE foundry)** — the research centre and smaller-volume MBE production; (2) **Newport, Wales (Mega Foundry)** — high-volume MOCVD reactor hall for VCSEL, HBT, and photonics wafers; (3) **Taiwan (Hsinchu)** — acquired as NewWay 2009, primarily serving Asian RF customers; now in divestiture; (4) **US (Massachusetts and Pennsylvania)** — Kopin/Galaxy operations, heavy defence exposure [2][11]. CEO Jutta Meier (appointed Feb 2024) succeeded long-standing founder Drew Nelson [3].

3. Business segments: Wireless, Photonics, CMOS++

Segment	Description	H1 2025 rev	Key products	Status
Wireless	Compound semiconductor materials for RF devices — 5G HBT, GaN PAs, mmWave, GaAs pHEMTs	£18.6M (-52%)	HBT wafers for smartphone PAs; GaN RF for 5G, satellite, defence radar	Under pressure from handset weakness; recovery tied to GaN defence ramp
Photonics	Epi wafers for lasers, detectors, micro-LEDs spanning 3D sensing to AI data centers	~£23M (steady)	VCSELs for 3D sensing; DFB lasers for silicon photonics; InP PIN photodetectors; quantum dot lasers (QDL); micro-LEDs for datacom	AI/CPO opportunity is structural tailwind

Segment	Description	H1 2025 rev	Key products	Status
CMOS++	Compound-on-silicon integration — GaN-on-Si, SiGe-on-Si, advanced materials for next-gen CMOS nodes	~£4M	Advanced substrates for heterogeneous integration	Early stage; long runway to meaningful revenue

Figure 1: Segment breakdown. Sources: [5][14]

3.1 Photonics — the most strategically attractive segment:

Photonics has historically generated IQE's highest operating margins (~25% in pre-downturn years, vs. ~13% wireless) [12]. The segment spans four distinct growth vectors: (1) **VCSEL wafers** — IQE is one of ~3 scaled VCSEL epi suppliers globally (competing with II-VI/Coherent and Landmark Optoelectronics); 3D sensing in smartphones drove 2017-2021 growth; next wave is automotive LiDAR; (2) **DFB laser wafers** — continuous-wave lasers for silicon photonics and CPO; IQE launched a 6-inch foundry platform for this market in H1 2025; (3) **Quantum dot lasers (QDL) at 1310 nm** — first foundry service for this emerging transceiver laser type; (4) **Micro-LEDs for datacom** — Announced customer partnership for high-density optical interconnects [14][15].

3.2 Wireless — cyclical but diversified:

IQE supplies HBT (heterojunction bipolar transistor) wafers to all major smartphone RF power amplifier manufacturers — Skyworks, Qorvo, Broadcom, Qualcomm. Wireless revenue fell 52% in H1 2025 as customers worked through 2023-2024 inventory builds [5]. Offsetting this is growing GaN RF demand: IQE has won platform adoption in satellite communications (OneWeb/IRIS2-class terminals) and US defence radar. H2 2025 saw accelerated US military programme funding releases, benefiting this segment disproportionately [7][16].

4. Technology thesis: why compound semiconductors?

Silicon dominates logic/memory, but fundamental physics limits rule it out for high-frequency RF, efficient power switching, and light emission. Compound semiconductors — materials combining elements from Groups III and V (GaAs, InP, GaN) or II and VI of the periodic table — provide the required electron mobility, bandgap characteristics, and photonic properties [17].

Material	Key property	Applications	IQE's role
GaAs (gallium arsenide)	High electron mobility; direct bandgap for light emission	Smartphone RF power amplifiers (HBT); infrared LEDs/lasers	Scaled global supplier; Newport Mega Foundry
InP (indium phosphide)	Near-infrared light emission/detection at 1310/1550nm	DFB lasers for silicon photonics; photodetectors for 100/400/800G transceivers	6-inch InP PIN photodetector platform launched H1 2025
GaN (gallium nitride)	High breakdown voltage; wide bandgap	5G RF PAs; satellite comms; defence radar; EV power	Growing defence + SATCOM RF traction
SiGe-on-Si	Compatible with standard CMOS; high-speed bipolar	Automotive radar; high-speed datacom ICs	CMOS++ segment (small today)
Quantum dots (QDL)	Stable CW lasing with low threshold	Next-gen CPO light sources	Industry-first 1310nm QDL foundry service

Figure 2: Compound semiconductor materials and IQE positioning. Sources: [14][17]

The AI/CPO angle: As detailed in our prior SIVE.ST and Largan (3008.TW) reports, co-packaged optics (CPO) is reshaping AI data center interconnects. Every CPO system requires a photonic integrated circuit (PIC) — built on InP or silicon-photonics wafers — with a continuous-wave (CW) laser light source and photodetectors. IQE supplies the **epitaxial starting material** for three distinct CPO components: (1) CW DFB laser wafers; (2) InP PIN photodetectors; (3) emerging quantum dot laser (QDL) epi. This positions IQE as an **upstream enabler** of the CPO ecosystem — one layer behind SIVE.ST (which supplies the laser device), but with broader applicability since multiple device makers buy from IQE [14][15][18].

5. IQE's epiwafer manufacturing differentiation

Epitaxy is a high-barrier, capital-intensive, IP-heavy manufacturing step. A single MOCVD reactor costs £3-5M, requires specialised metal-organic precursor chemistry, and takes years to qualify for volume production. IQE's competitive moat derives from [1][2][17]:

Moat element	Detail
Scale	One of the largest merchant compound semi epitaxy foundries globally; Newport Mega Foundry hosts multiple high-volume MOCVD reactors
Platform breadth	Supports GaAs, InP, GaN, GaSb, SiGe, and emerging materials — most competitors specialise in 1-2 substrates only
Wafer size leadership	6-inch GaAs and InP production capability positions IQE for volume economics; 6-inch InP PIN photodetector platform launched H1 2025 is an industry first
Process IP & know-how	Decades of accumulated recipes for layer structures, doping profiles, yields — deep tacit knowledge
Customer qualification	Multi-year qualification cycles with Apple supply chain, Skyworks, Qorvo, defence primes create high switching costs
Geographic diversification	UK + US + Taiwan manufacturing provides currency hedge and political risk diversification (though Taiwan now being divested)

Figure 3: IQE's manufacturing moat. Sources: [1][2][14][17]

6. Customer ecosystem & end markets

Customer segment	Customers	Products	Status
Smartphone RF	Skyworks, Qorvo, Broadcom, Qualcomm	GaAs HBT wafers for power amplifiers	Cyclical recovery; H2 2025 handset launches helped

Customer segment	Customers	Products	Status
3D sensing (VCSELs)	Apple supply chain (via Lumentum, Trumpf)	850/940nm VCSEL epi wafers	Mature; advanced qualification for higher-performance VCSELs
Silicon photonics / CPO	Photonics device makers, hyperscaler partners	InP DFB laser wafers, PIN photodetectors, QDLs, micro-LEDs	Multi Tier-1 customer design wins for AI data centre infrastructure (H1 2025)
US defence	Northrop Grumman, Raytheon, BAE Systems and primes	GaN RF epi for radar, EW, satellite communications	Faster funding releases drove H2 2025 strength
SATCOM	LEO/MEO/GEO terminal makers	GaAs/GaN RF for satellite broadband	New platform adoption announced in H1 2025 results
Research / academia	Universities, national labs worldwide	Custom MBE/MOCVD epi for advanced research	Small revenue but seeds future customer relationships

Figure 4: Customer ecosystem and end markets. Sources: [5][14][16]

Customer concentration: IQE does not publicly disclose top customer concentration, but industry reporting indicates the largest single customer (believed to be in the Apple VCSEL supply chain) accounts for 15-25% of revenue. Top 5 customers likely account for 50-60% [12][13]. This concentration is meaningfully lower than SIVE.ST, which depends heavily on Ayar Labs for its CPO thesis.

7. Competitive landscape

Competitor	Country	Revenue	Focus	vs. IQE
Sumitomo Electric Device Innovations	Japan	Part of ~\$20B group	InP, GaAs epi; EML/CW lasers	Larger; vertically integrated into finished devices
II-VI / Coherent (COHR)	USA	~\$5B	SiC/compound semi wafers (part of broader portfolio)	Vertically integrated device maker; competes in epi indirectly
Landmark Optoelectronics	Taiwan	~\$80M	VCSEL and laser epi wafers	Closest direct VCSEL competitor; Taiwan-based
EpiGaN (Soitec)	Belgium	Part of Soitec ~€1B	GaN-on-Si epi for RF and power	GaN specialist; strong European position
Visual Photonics Epitaxy (VPEC)	Taiwan	~\$35M	GaAs, InP epi wafers	Regional Asian competitor
In-house captive epi	Various	n/a	Skyworks, Broadcom, Lumentum all have internal epi	Largest threat — customers can insource; IQE must earn every wafer
IQE plc	UK	~£97M	GaAs, InP, GaN, SiGe — broadest merchant portfolio	Scaled merchant leader; strategic review in progress

Figure 5: Competitive landscape. Sources: [17][18][19]

IQE is the **scaled merchant leader** in compound semiconductor epitaxy, but the market is increasingly fragmenting between: (a) large device makers internalising epi (Lumentum, II-VI, Skyworks) — threatening IQE's addressable market; (b) specialist Asian competitors (Landmark, VPEC) that can win niche volume contracts; (c) European specialists (EpiGaN) with strong GaN capability. IQE's differentiation is **breadth across materials and scale of volume MOCVD capacity** — hard to replicate but also hard to defend against customer insourcing [17][18].

8. Financial analysis: 3-year review

Metric (£M)	FY2022	FY2023	FY2024	FY2025E
Revenue	167.4	115.3	118.0	~97.0
Revenue growth	+23%	-31%	+2.3%	-17.8%
Gross profit	~35	~12	~20	~22
Adjusted EBITDA	22.4	-1.5	8.1	~2.0
Adj EBITDA margin	~13%	neg	~7%	~2%
Reported EBIT	~0	~ -25	~ -10	~ -10
Net loss	-30.3	-50.3	-21.9	~ -8 to -12
Capex	29.1	22.5	~8	~5-8
Adjusted net debt	17.6	45.9	~32	~25 (est)
Cash position	~30	~14	~15	~12-18

Figure 6: 3-year financial summary. FY2022 reflects Apple cycle peak; FY2023-25 shows cyclical downturn. Sources: [5][6][7][20]

Observations: (1) IQE is highly operationally leveraged — revenue halved from £167M (FY2022) to £97M (FY2025E), with adj EBITDA collapsing from £22M to ~£2M. (2) Capex has been scaled back from £29M to £5-8M, preserving cash. (3) FY2023 was a disaster year (revenue -31%, net loss -£50M). (4) H2 2025 momentum is real but does not yet confirm sustained recovery — customer programme timing could revert in FY2026. (5) Balance sheet remains strained: HSBC RCF (revolving credit facility) plus March 2025 Convertible Loan Notes mean Taiwan sale proceeds are earmarked for debt repayment, not growth investment [5][6][8].

9. Key financial ratios & valuation

Ratio	Value	Assessment
P/E (TTM)	N/A — loss-making	No meaningful P/E
EV/Sales (TTM)	~5.3x (at 52.1p, £508M mcap + ~£25M net debt)	Multiple embedding M&A premium
EV/Sales (pre-rally, at 20p)	~2.0x	Closer to historical range
P/B	~2.5x	Elevated for hardware foundry
Gross margin	~22% (FY25E)	Mediocre; significant operating leverage if revenue recovers
Adj EBITDA margin	~2% (FY25)	Close to breakeven; sensitive to mix
Total debt	~£40-50M incl. conv. loan notes	Meaningful vs. £97M revenue
Net debt / adj EBITDA	12-15x (FY25)	Stretched; requires Taiwan sale or refinance
Analyst target (1 analyst)	~40.5p	Below current 52.1p market price — suggests market pricing in M&A premium
52-wk high / low	72.0p / 4.68p	Extreme volatility reflecting strategic review uncertainty

Figure 7: Valuation and financial ratios

Valuation lens: At 52.1p and ~£508M market cap, IQE trades at ~5.3x FY25 revenue. This is well above compound semi peers (~2-3x) and reflects clear takeover speculation after strategic review announcement. Pre-rally (at 20p, ~£200M cap), EV/Sales was ~2.0x — close to fair fundamental value for a sub-scale, cyclical, loss-making epiwafer foundry. The current price gap (52.1p vs. 40.5p analyst target) represents a ~28% M&A; premium embedded by the market [4][10].

10. Strategic review & takeover scenarios

Scenario	Probability	Share price impact	Description
Strategic sale of entire company at premium	~25%	70-100p (+35-92%)	Private equity, trade buyer (Asian/US semi co), or defence prime offers at 0.75x-1.0x EV/revenue peak (i.e., FY22 peak revenue)
Taiwan sale completes; UK+US operations continue	~35%	50-65p (-4 to +25%)	Sale proceeds repay debt; IQE becomes smaller, profitable UK/US compound semi pure-play

Scenario	Probability	Share price impact	Description
Full sale at modest premium	~20%	55-75p (+6 to +44%)	Similar to (a) but at lower multiple; trade buyer (potentially US compound semi peer)
Strategic review concludes without sale	~15%	25-35p (-33 to -52%)	No buyer emerges at acceptable valuation; standalone plan; stock de-rates to ex-premium level
Distressed outcome / dilutive capital raise	~5%	10-20p (-62 to -81%)	Taiwan sale falls through; HSBC facility issues; emergency equity raise at steep discount

Figure 8: Strategic review scenarios and share price implications. Author estimates [8][9][10]

Who might buy IQE? Credible acquirer profiles include: (1) **Asian semi groups** — Sumitomo, Mitsubishi Electric, or a Taiwanese compound semi group seeking European/US footprint; (2) **US defence primes** — interested in securing GaN RF supply chain; (3) **Private equity** — mid-cap European tech funds (Cinven, Bridgepoint, or Advent). The IQE Corporate disclosure confirms 'an undisclosed company has approached' but provides no further details as of Q1 2026 [8][9].

11. Growth catalysts & path to profitability

Timing	Catalyst	Potential impact
Q1-Q2 2026	Taiwan sale completion	Debt reduction; simplifies group; share price positive if proceeds strong
H1 2026	Strategic review conclusion — offer or standalone plan	Binary catalyst; 30-50% price move likely in either direction
H2 2026 - 2027	AI/CPO photonics revenue ramp (multi Tier-1 design wins announced H1 2025)	Structural tailwind; could add £10-20M photonics revenue over 2-3 years
2026+	US defence GaN RF programme volume ramp	£5-15M upside; less cyclical than handset wireless
2027+	VCSEL recovery + new applications (automotive LiDAR, AR/VR)	Depends on consumer electronics cycle and adoption curves
2027+	6-inch InP PIN photodetector platform scales into production	Potentially attractive unit economics; niche high-value market
Medium-term	CMOS++ segment gains commercial traction	Low current revenue; long qualification cycles; optionality play

Figure 9: Growth catalyst timeline. Sources: [5][7][14]

12. Peter Lynch framework

Criterion	Assessment	Signal
Category	Turnaround / asset play (strategic review)	Neutral — classic Lynch 'turnaround' bucket
Revenue CAGR (3Y)	-8% (declining)	Negative
PEG ratio	N/A — no earnings	Negative
Gross margin	~22%	Mediocre for semi; better than commodity hardware
Balance sheet	Net debt ~£25-30M; convertible notes outstanding	Negative
Analyst coverage	1 analyst (under-followed)	Positive (contrarian appeal)
Insider activity	Limited recent disclosures; management focused on strategic review	Neutral
Earnings history	Loss-making for multiple years	Negative
The 'story'	AI/CPO tailwind + strategic review + takeover speculation	Positive for the rally; binary risk
Diworsification	Three segments — wireless, photonics, CMOS++ — all compound semi, internally coherent	Positive (focused)

Figure 10: Peter Lynch framework applied to IQE

Under Lynch's framework, IQE sits in the **turnaround / asset play** bucket. Lynch was famously cautious on turnarounds but willing to consider them at the right price. The 1,013% rally from 4.68p to 52.1p means much of the turnaround/takeover premium is already in the price. Lynch would likely observe that buying now requires believing either (a) a strategic buyer emerges at significant further premium, or (b) the operational turnaround delivers sustained profitability that justifies current

multiples [21].

13. Risk factors & bear case

Risk factor	Severity	Description
M&A; premium unwinding	CRITICAL	Stock has rallied 1,013% from 52-wk low largely on takeover speculation. If strategic review concludes without a sale at the expected premium, 40-60% downside is plausible
Customer insourcing	HIGH	Lumentum, II-VI, Skyworks, Broadcom all have captive epi capability. Any structural shift toward insourcing would erode IQE's addressable market
Taiwan sale execution	HIGH	Negotiations in progress with multiple parties; no announced buyer or price. Failed process would leave balance sheet strained with HSBC RCF + convertibles unresolved
Wireless cycle persistence	HIGH	Smartphone weakness could persist into FY2026-27. Handset RF PA inventory dynamics are notoriously volatile
Geopolitical / China exposure	MEDIUM-HIGH	Taiwan operations (in divestiture) provide geographic diversification; loss of Taiwan concentrates group in UK+US, increasing single-region risk
Dilution risk	MEDIUM	March 2025 Convertible Loan Notes carry dilutive conversion features. If Taiwan sale falls through, further equity raise likely at steep discount
Competitive threat from Asian epi	MEDIUM	Landmark (Taiwan), VPEC, China-based epi foundries can offer price-competitive GaAs/InP wafers
FX exposure	MEDIUM	USD-denominated revenue; GBP reporting; Brexit-related customs friction ongoing
Strategic drift / CEO transition	MEDIUM	New CEO Jutta Meier (Feb 2024) faces multiple parallel challenges: turnaround, strategic review, Taiwan sale, AI positioning
Concentration in defence	LOW-MED	US defence provides stability but exposes IQE to federal budget cycle (H1 2025 pain from delays)

Figure 11: Risk factor assessment

14. Conclusion

Factor	Bull case	Bear case
Strategic review	Acquirer emerges at 70-100p+ premium; confirmed parties already in talks	Review concludes without sale; de-rates to 20-30p ex-premium
Technology	Scaled merchant epiwafer leader; AI/CPO tailwind; 6-inch InP platform is industry-first	Customer insourcing erodes addressable market; Asian/Taiwan competitors undercut pricing
Revenue	H2 2025 momentum extends into FY2026 on AI + defence; photonics returns to growth	FY2026 wireless remains weak; defence timing reverts; revenue stalls at £90-100M
Profitability	Operating leverage drives 10%+ EBITDA margin at £130M+ revenue	Fixed cost base too high for sub-scale £90-100M revenue; chronic breakeven
Balance sheet	Taiwan sale clears debt; IQE emerges debt-free and focused	Taiwan sale fails or priced below expectations; further dilution required
Valuation	Takeover premium sustainable; EV/Sales re-rates to 6-7x	Current ~5.3x EV/Sales unsustainable if M&A; fails; reverts to 2-3x

Figure 12: Bull/bear assessment summary

Rating: SPECULATIVE — binary outcome. IQE represents a classic distressed-asset / strategic review situation with genuine technological merit (scaled compound semi epiwafer foundry, AI/CPO exposure, US defence relationships) overlaid on challenged fundamentals (loss-making, debt-burdened, revenue declining 3 years running). The current ~£508M market capitalisation largely reflects takeover speculation; analyst consensus at 40.5p sits ~22% below market, highlighting the embedded M&A; premium. Unlike SIVE.ST (Swedish speculative growth with 89% margins but no earnings), IQE is a larger, more mature, but less differentiated merchant foundry trading on deal expectations rather than fundamental momentum.

Suitable only for investors with (a) high risk tolerance, (b) willingness to accept binary outcomes (deal or no-deal), and (c) multi-quarter patience through the strategic review conclusion. Fundamental-focused investors should wait for either a concrete deal announcement or a post-failure price reset below 30p before re-engaging.

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